

Motivation

Learning Objectives

- **Define** and **explain** motivation
- **Compare** and **contrast** early theories of motivation
- **Compare** and **contrast** contemporary theories of motivation
- **Discuss** current issues in motivating employees

Motivation: defined

Motivation is the word derived from the word 'motive' which **means** needs, desires, wants or drives within the individuals. ***It is the process of stimulating people to actions to accomplish the goals.***

Cont'd..

- **Motivation** can be defined as stimulating, inspiring and inducing the employees to perform to their best capacity. **Motivation** is a psychological term.
- Motivation not only creates willingness but also encourages employees to fully utilize their abilities. In a nutshell, motivation in an organization refers to the positive state of mind that drives individuals to achieve their goals.

What is Motivation?

- Motivation
 - The process by which a person's efforts are ***energized, directed, and sustained*** toward attaining a goal
 - Individuals differ in motivational drive
 - Overall motivation varies from situation to situation

Three Elements of Motivation

This definition has three key elements:

1. **Energy** - *a measure of intensity or drive.*
2. **Direction** - *effort channeled in a direction that benefits the organization.*
3. **Persistence** - *when employees persist in putting forth effort to achieve those goals.*

- The author Steven Pressfield has a great line in his book, [The War of Art](#). ***“At some point, the pain of not doing it becomes greater than the pain of doing it.”***
- Motivation may be defined as those forces that cause people to behave in certain ways. Motivation encompasses all those pressures and influences that trigger and sustain human behavior.
- When one is motivated, it is easier to bear the inconvenience of action than the pain of remaining the same.

Maslow's Hierarchy of Needs Theory

- Maslow was a psychologist who proposed that within every person is a hierarchy of five needs:
 1. Physiological needs
 2. Safety needs
 3. Social needs
 4. Esteem needs
 5. Self-actualization needs

EXHIBIT 10-1**Maslow's Hierarchy of Needs**

Source: *Motivation and Personality*, 2nd ed., by A. H. Maslow, 1970. Reprinted by permission of Prentice Hall, Inc., Upper Saddle River, New Jersey.

McGregor's Theory X and Theory Y

- Theory X

- The assumption that employees dislike work, are lazy, avoid responsibility, and must be coerced to work

- Theory Y

- The assumption that employees are creative, enjoy work, seek responsibility, and can exercise self-direction

Herzberg's Two-Factor Theory / motivation-hygiene theory / dual-factor theory

- This theory argues that there are separate sets of mutually exclusive factors in the workplace that either cause job satisfaction or dissatisfaction. In this view, job satisfaction and dissatisfaction exist on two different continua, each with its own set of factors.
- This contradicts the traditional view of job satisfaction, which posits that job satisfaction and dissatisfaction are interdependent.

- Herzberg's **two-factor theory** proposes that:
 - Intrinsic factors (job related factors) are related to job satisfaction
 - Extrinsic factors are associated with job dissatisfaction

- Hygiene Factors (Maintenance factors)
 - Factors that eliminate job dissatisfaction but don't motivate.
- Motivators
 - Factors that increase job satisfaction and motivation

Cont'd..

Herzberg's Motivation - Hygiene Theory

Motivators



Achievement



Recognition



The Work
Itself



Responsibility



Advancement



Growth

Demotivators



Bureaucracy
(Corporate policies,
Supervision)



Relationships



Work
Conditions



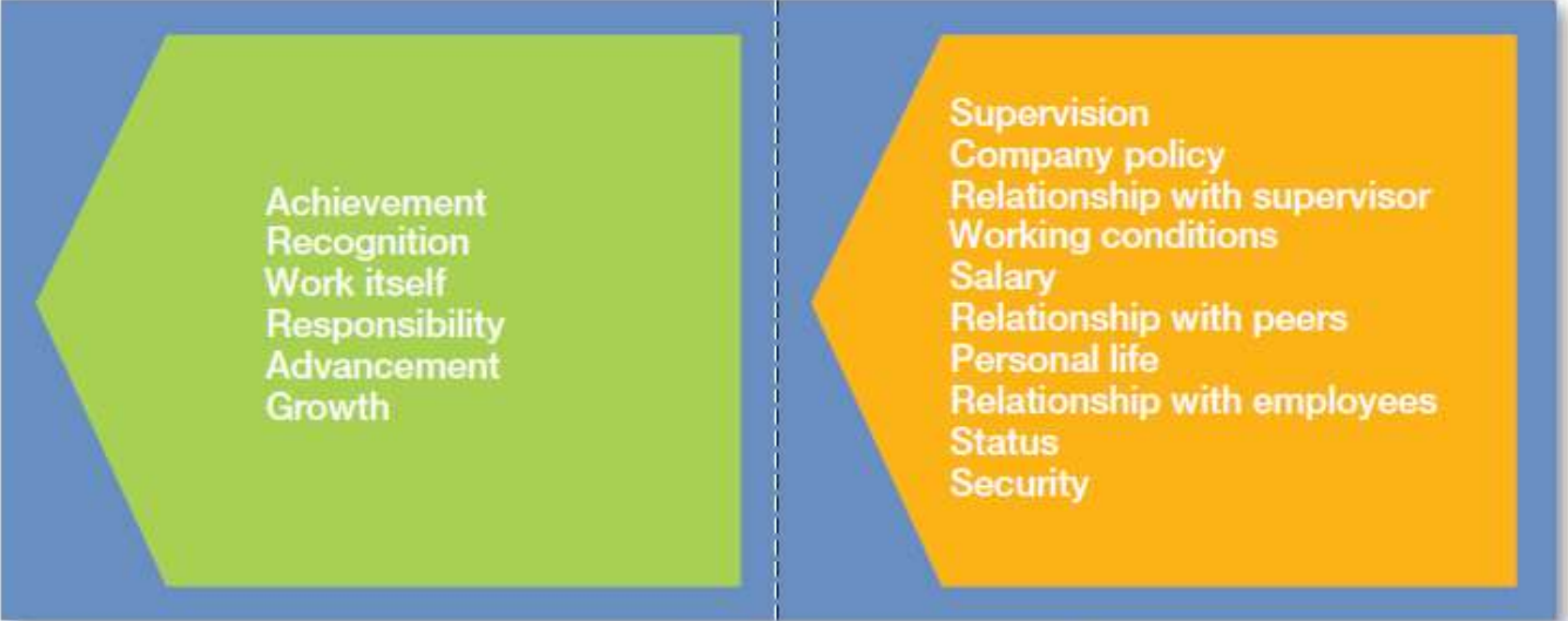
Status



Salary



Job Security

EXHIBIT 10-2**Herzberg's Two-Factor Theory****Motivators**

The diagram illustrates Herzberg's Two-Factor Theory on a horizontal scale of satisfaction. A central vertical dashed line is labeled 'Neutral'. To the left of this line is a green arrow pointing left, labeled 'Motivators' above and 'Extremely Satisfied' below. To the right of the line is an orange arrow pointing right, labeled 'Hygiene Factors' above and 'Extremely Dissatisfied' below. The green arrow contains a list of motivators, and the orange arrow contains a list of hygiene factors.

Achievement
Recognition
Work itself
Responsibility
Advancement
Growth

**Extremely
Satisfied**

Neutral

Hygiene Factors

Supervision
Company policy
Relationship with supervisor
Working conditions
Salary
Relationship with peers
Personal life
Relationship with employees
Status
Security

**Extremely
Dissatisfied**

- The traditional view of job satisfaction entails that job satisfaction and job dissatisfaction exist on the same continuum; employees who lack reasons to be satisfied with their jobs must be dissatisfied.
- However, hygiene and motivational factors are distinct. To Herzberg, the opposite of job satisfaction was not job dissatisfaction, but no job satisfaction. Conversely, the opposite of job dissatisfaction is no job dissatisfaction.
- These two separate continua of job satisfaction and job dissatisfaction, supporting the possibility that someone can be content with certain aspects of their jobs but discontent with others.

High

Hygiene Factors

Comfortable but
unfulfilling job

Fun and
exciting job

Low

Miserable job

Hard but
meaningful job

McClelland's Three-Needs Theory

- Need for Achievement (nAch)
 - The drive to succeed and excel in relation to a set of standards
- Need for Power (nPow)
 - The need to make others behave in a way that they would not have behaved otherwise
- Need for Affiliation (nAff)
 - The desire for friendly and close interpersonal relationships

Goal-Setting Theory

- Goal-Setting Theory
 - Specific goals increase performance
 - Difficult goals, when accepted, result in higher performance
- Self-Efficacy

S

SPECIFIC



Make goals
clear and
specific.

M

MEASURABLE



Define
measurable
assets.

A

ATTAINABLE



Confirm your
goals are
attainable.

R

RELEVANT



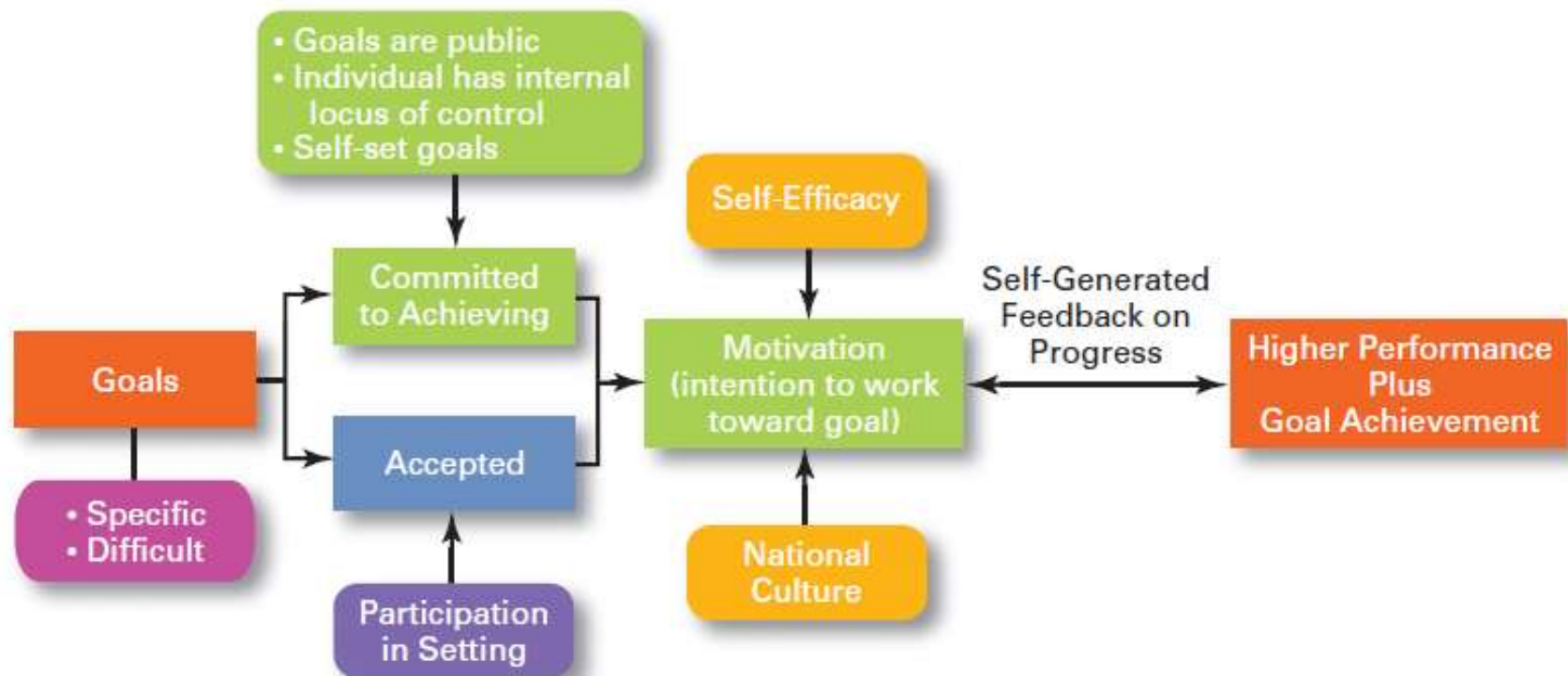
Verify your
goals are
relevant.

T

TIME-BASED



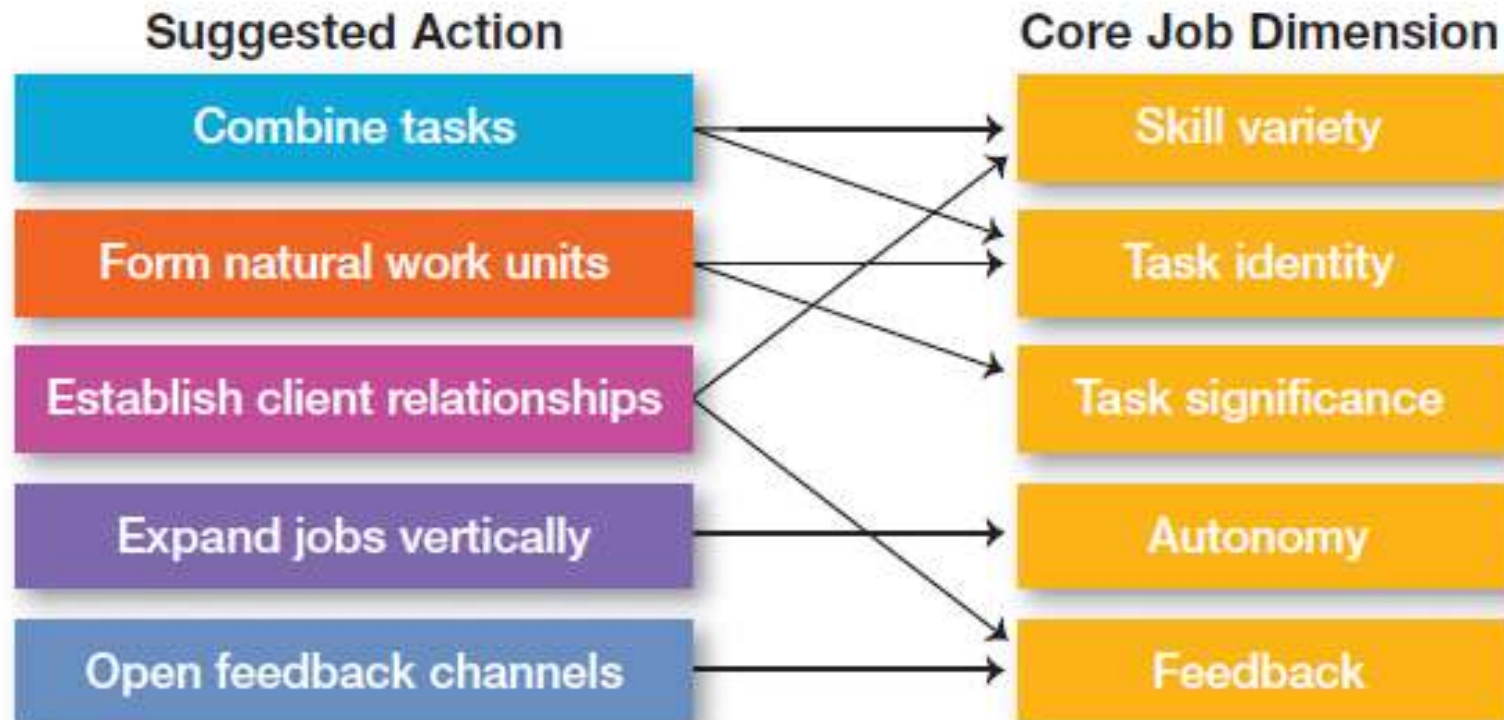
Set up a time-
based plan.

EXHIBIT 10-4**Goal-Setting Theory**

Job Design & Motivation

- Job Design
 - The way tasks are combined to form complete jobs
- Job Characteristics Model (JCM)
 - A framework for analyzing and designing jobs that identifies five primary core job dimensions, their interrelationships, and their impact on outcomes
- Job Enrichment
 - The vertical expansion of a job by adding planning and evaluation responsibilities

EXHIBIT 10-6 Guidelines for Job Redesign



Equity Theory

- Equity Theory
 - The theory that an employee compares his or her job's input-outcomes ratio with that of relevant others and then corrects any inequity
- Referent
 - The persons, systems, or selves against which individuals compare themselves to assess equity

- Distributive Justice
 - Perceived fairness of the ***amount and allocation of rewards*** among individuals
- Procedural Justice
 - Perceived fairness of the ***process used*** to determine the distribution of rewards

EXHIBIT 10-7 Equity Theory Relationships

PERCEIVED RATIO COMPARISON*

$$\frac{\text{Outcomes A}}{\text{Inputs A}} < \frac{\text{Outcomes B}}{\text{Inputs B}}$$

$$\frac{\text{Outcomes A}}{\text{Inputs A}} = \frac{\text{Outcomes B}}{\text{Inputs B}}$$

$$\frac{\text{Outcomes A}}{\text{Inputs A}} > \frac{\text{Outcomes B}}{\text{Inputs B}}$$

EMPLOYEE'S ASSESSMENT

Inequity (underrewarded)

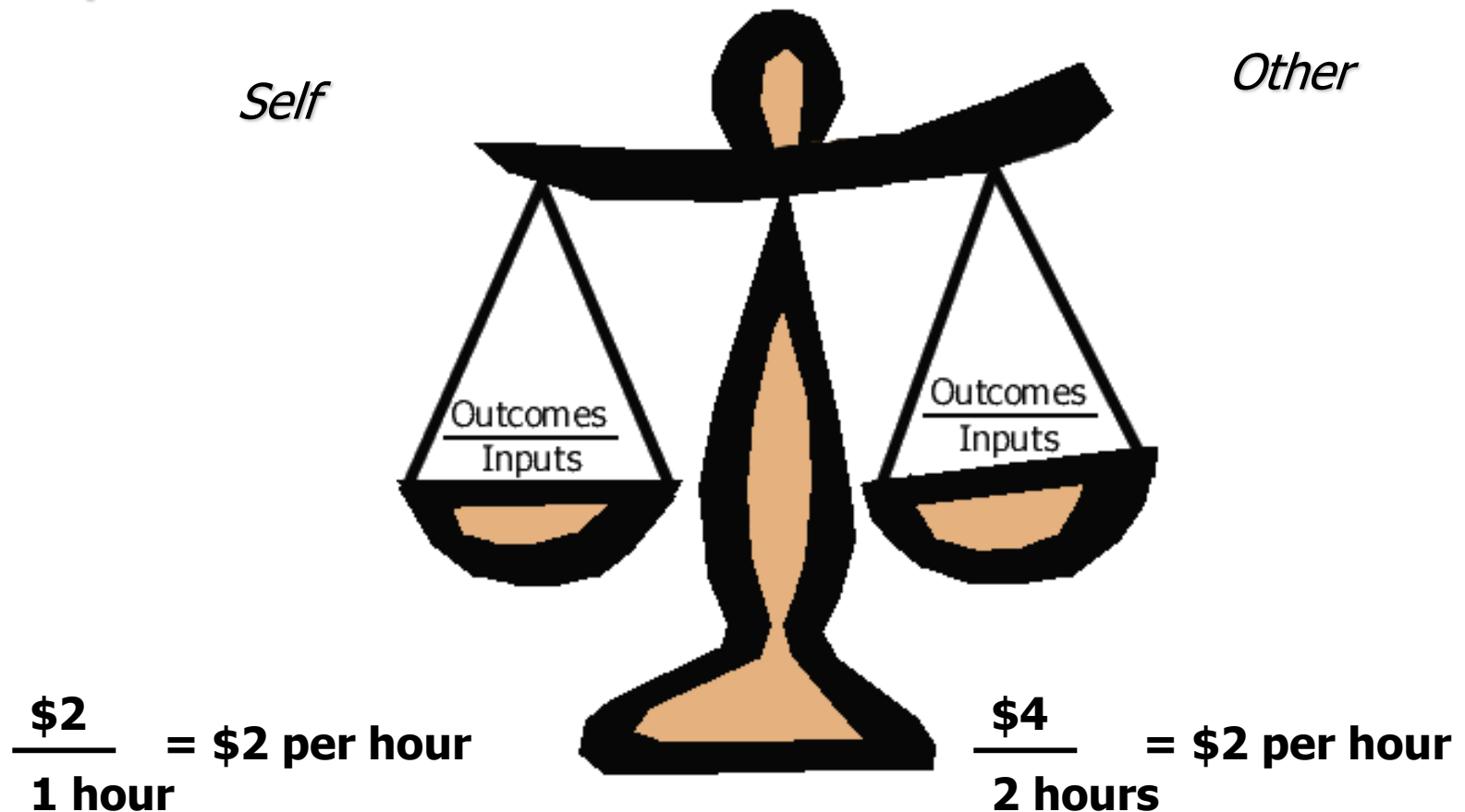
Equity

Inequity (overrewarded)

*Person A is the employee, and Person B is a relevant other or referent.

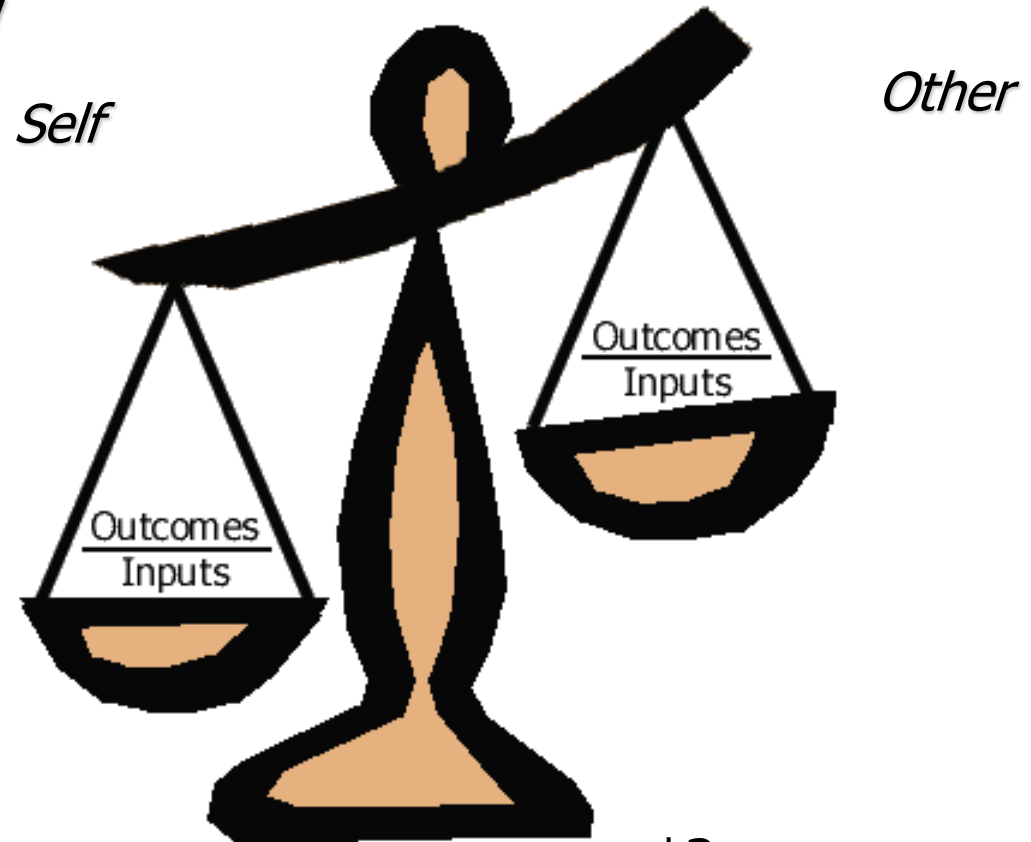
Negative and Positive Inequity

An Equitable Situation



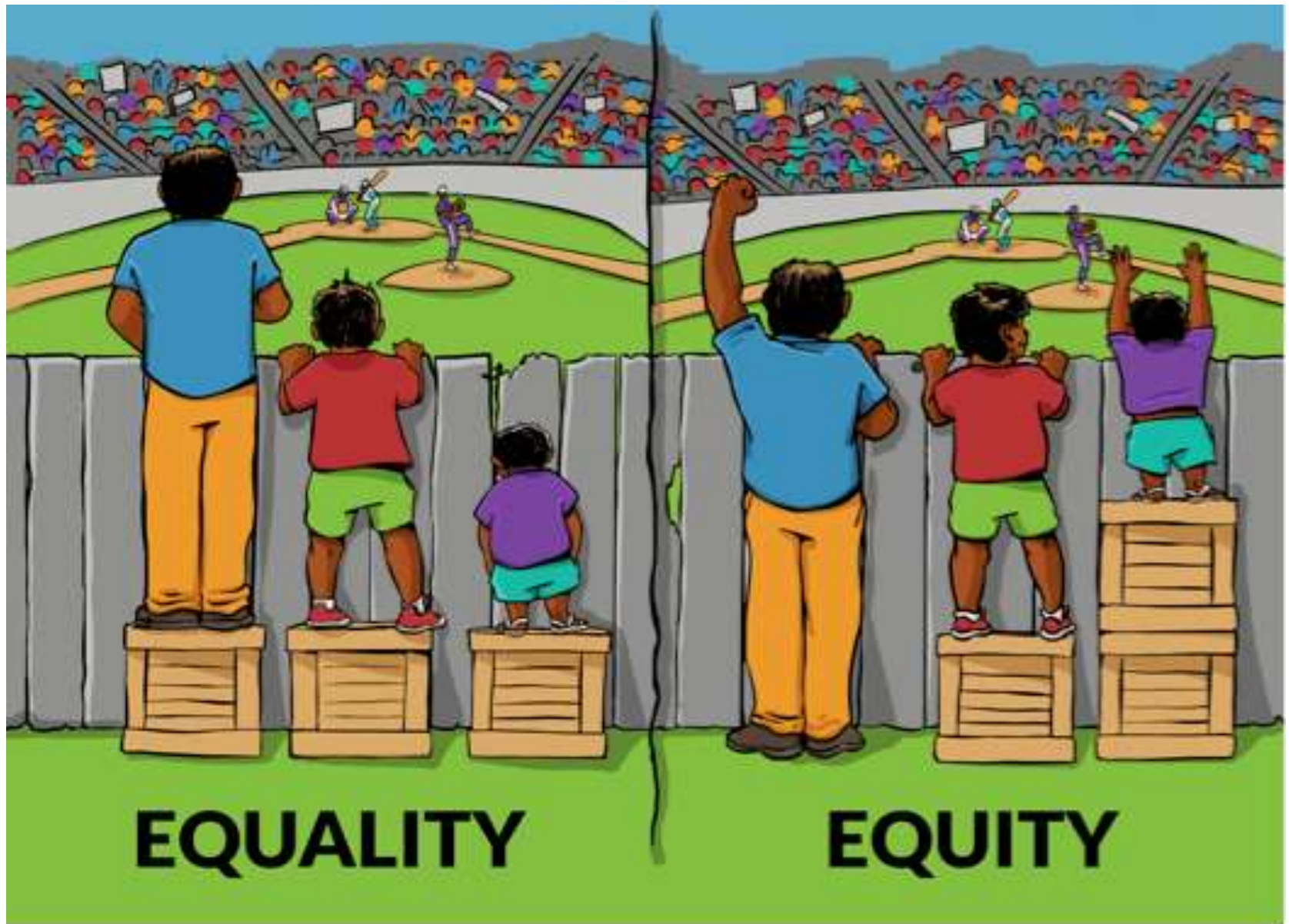
Cont'd..

Positive Inequity



$$\frac{\$3}{1 \text{ hour}} = \$3 \text{ per hour}$$

$$\frac{\$2}{1 \text{ hour}} = \$2 \text{ per hour}$$



Expectancy Theory

- Expectancy Theory (V. Vroom, 1984)

An individual tends to act in a certain way, based on:

- the expectation that the act will be followed by a given outcome
- the attractiveness of that outcome to the individual

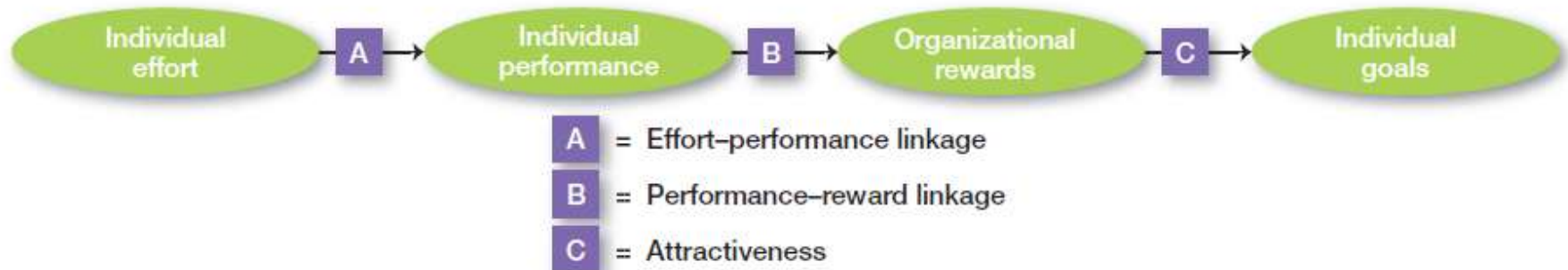
Motivation = Valence x Instrumentality x Expectancy

- Expectancy is the belief that one's effort (E) will result in attainment of desired performance (P) goals.
- Instrumentality is the belief that a person will receive a reward if the performance expectation is met. This reward may present itself in the form of a pay increase, promotion.

Cont'd..

- Valence is characterized by the extent to which a person values a given outcome (O) or reward

EXHIBIT 10-8 Expectancy Model



Managerial Implications of Expectancy Theory

- Determine the outcomes employees value
- Identify good performance so that appropriate behaviors can be rewarded
- Make sure employees can achieve targeted performance levels
- Link desired outcomes to targeted levels of performance
- Make sure changes in outcomes are large enough to motivate high effort
- Monitor the reward system for inequities

Organizational Implications of Expectancy Theory

- Reward people for desired performance, and do not keep pay decisions secret.
- Design challenging jobs.
- Tie some rewards to group accomplishments to build teamwork and encourage cooperation.
- Reward managers for creating, monitoring, and maintaining expectancies, instrumentalities, and outcomes that lead to high effort and goal attainment.
- Monitor employee motivation through interviews or anonymous questionnaires.
- Accommodate individual differences by building flexibility into the motivation program.

Motivating a Diverse Workforce

- **Compressed Workweek**
 - A workweek in which employees work longer hours per day but fewer days per week
- **Flexible Work Hours (flextime)**
 - A scheduling system in which employees are required to work a certain number of hours per week but are free, within limits, to vary the hours of work

- Job Sharing

- When two or more people split (share) a fulltime job

- Telecommuting

- A job approach in which employees work at home but are linked by technology to the workplace

Designing Appropriate Rewards Programs

- **Employee Recognition Programs**
 - Programs that consist of personal attention and expressions of interest, approval, and appreciation for a job well done
- **Pay-for-Performance Programs**
 - Variable compensation plans that pay employees on the basis of some performance measurement

-
- RPG Group has launched 'HappyXchange,' a platform that reshapes employee recognition by introducing a new 'Currency of Happiness' called 'Happiness Coins.' The initiative will enable employees across the organisation to celebrate each other's contributions.
 - It consolidates all of RPG's rewards and recognition programmes into a single, user-friendly platform. With this, employees at all levels can express appreciation and foster a culture of support and camaraderie. Through Happiness Coins, team members can also recognise efforts, collaboration, support, and mentorship, regardless of role or

Special motivational techniques

- Money is often more than monetary value. It can also mean status or power, or other things
- Intrinsic rewards may include a feeling of accomplishment, or even self-actualization
- Extrinsic rewards include benefits recognition, status symbols, and, of course, money

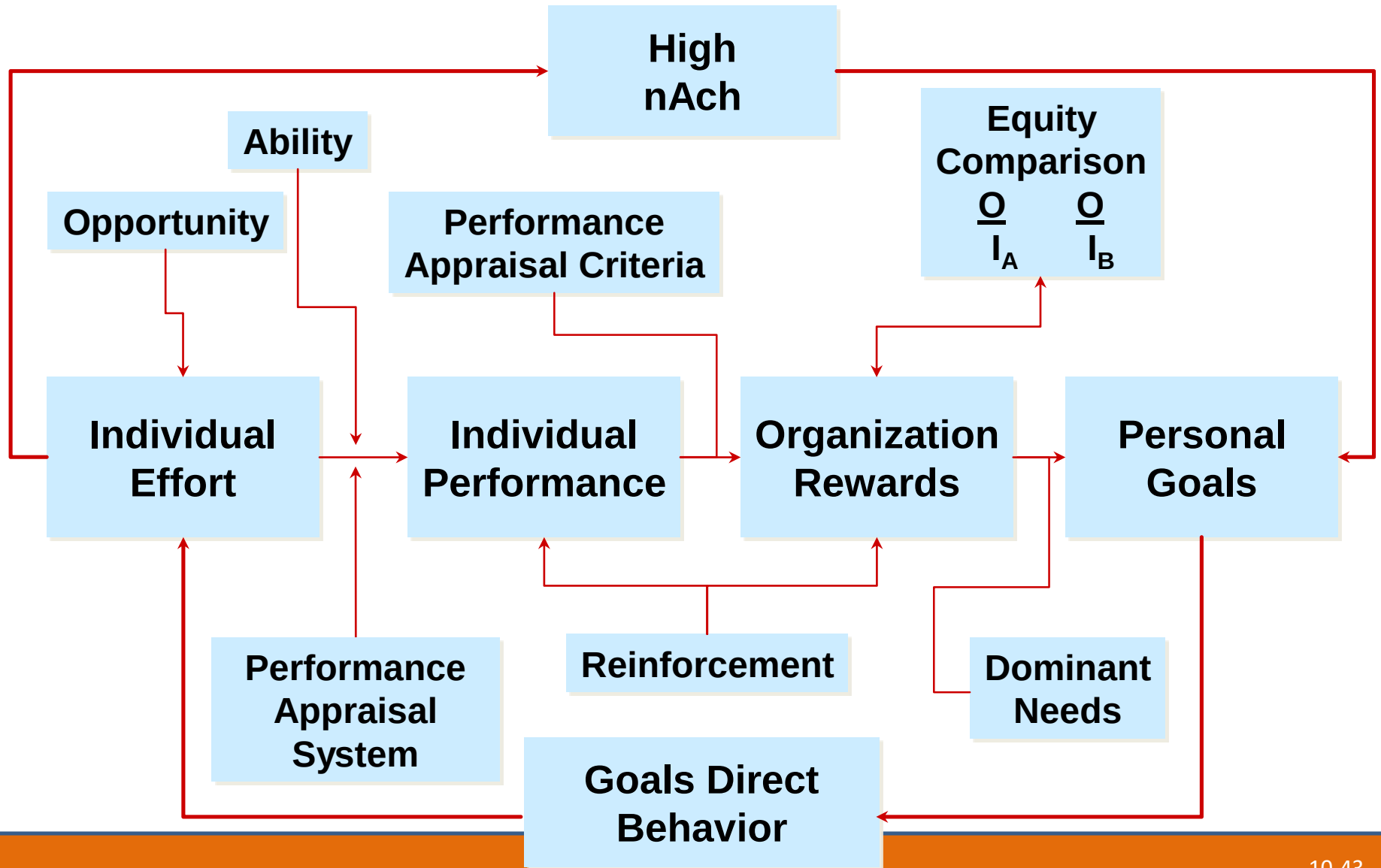
Cont'd..

-
- Pay may be based on individual, group, and organizational performance
 - Motivation through the use of participation
 - Quality of working life (QWL) program is a systems approach to job design and a promising development in the broad area of job enrichment.

Job enlargement & enrichment

- Job enlargement means enlarging the scope of the job by adding tasks of similar nature.
- Job enrichment attempts to build into jobs a higher sense of challenge and achievement

An Integrative Model of Motivation



Special Motivation Issues

- Professionals
- Contingent workers
- Diversified workforce
- Low-skilled service workers
- Highly repetitive tasks



Case study

As of 2010, Xerox Corporation (NYSE: XRX) is a \$22 billion, multinational company founded in 1906 and operating in 160 countries. Xerox is headquartered in Norwalk, Connecticut, and employs 130,000 people. How does a company of such size and magnitude effectively manage and motivate employees from diverse backgrounds and experiences? Such companies depend on the productivity and performance of their employees. The journey over the last 100 years has withstood many successes and failures. In 2000, Xerox was facing bankruptcy after years of mismanagement, piles of debt, and mounting questions about its accounting practices.

Anne Mulcahy turned Xerox around. Mulcahy joined Xerox as an employee in 1976 and moved up the corporate ladder, holding several management positions until she became CEO in 2001. In 2005, Mulcahy was named by *Fortune* magazine as the second most powerful woman in business. Based on a lifetime of experience with Xerox, she knew that the company had powerful employees who were not motivated when she took over.

Cont'd..

Mulcahy believed that among other key businesses changes, motivating employees at Xerox was a key way to pull the company back from the brink of failure. One of her guiding principles was a belief that in order to achieve customer satisfaction, employees must be interested and motivated in their work. Mulcahy not only successfully saw the company through this difficult time but also was able to create a stronger and more focused company.

In 2009, Mulcahy became the chairman of Xerox's board of directors and passed the torch to Ursula Burns, who became the new CEO of Xerox. Burns became not only the first African American woman CEO to head a Standard & Poor's (S&P) company but also the first woman to succeed another woman as the head of an S&P 100 company. Burns is also a lifetime Xerox employee who has been with the company for over 30 years. She began as a graduate intern and was hired full time after graduation. Because of her tenure with Xerox, she has close relationships with many of the employees, which provides a level of comfort and teamwork. She describes Xerox as a nice family. She maintains that Mulcahy created a strong and successful business but encouraged individuals to speak their mind, to not

Cont'd..

worry about hurting one another's feelings, and to be more critical.

Burns explains that she learned early on in her career, from her mentors at Xerox, the importance of managing individuals in different ways and not intentionally intimidating people but rather relating to them and their individual perspectives. As CEO, she wants to encourage people to get things done, take risks, and not be afraid of those risks. She motivates her teams by letting them know what her intentions and priorities are. The correlation between a manager's leadership style and the productivity and motivation of employees is apparent at Xerox, where employees feel a sense of importance and a part of the process necessary to maintain a successful and profitable business. In 2010, Anne Mulcahy retired from her position on the board of directors to pursue new projects.

- How do you think Xerox was able to motivate its employees through the crisis it faced in 2000?
- Both Anne Mulcahy and Ursula Burns were lifetime employees of Xerox. How does an organization attract and keep individuals for such a long period of time?

Readings

- <https://www.simplypsychology.org/herzbergs-two-factor-theory.html>
- <https://www.managementstudyguide.com/herzbergs-theory-motivation.htm>

QUESTIONS

